Our Company

Our vision is to provide a regulated, institutional-grade platform that bridges traditional wealth management and on-chain finance through custody, advisory, lending, yield and tokenization solutions.

Abra Financial Holdings, Inc. (together with its subsidiaries and affiliates, "Abra," the "Company," "we," "us" or "our") is a regulated digital-asset wealth platform that provides institutional-grade custody, asset management, lending, yield and tokenization services for institutional investors, high-net-worth individuals, family offices and registered investment advisers. Our commercial offering is structured around two operating segments: Abra Capital Management ("ACM"), an SEC-registered investment adviser that delivers fiduciary custody and asset management services through client-owned, title-retaining on-chain separately managed accounts ("SMAs"), and Abra Tokenize, which encompasses our real-world asset ("RWA") tokenization, protocol and treasury initiatives, including our commercial relationship with AbraFi and the distribution and integration of USDAF and related protocol economics. Through ACM, we offer regulated custody, trading, lending and yield solutions. Through Abra Tokenize, we seek to provide institutional access to on-chain RWA products, synthetic-dollar primitives and governance token monetization in a manner designed to align with ACM's regulatory and custody framework.

Since attaining RIA status in April 2024, we have executed a staged commercialization plan and achieved initial traction. In 2025, we received approximately $543 million of new client deposits, measured at the time of deposit, and had year-end 2025 AUM of approximately $334 million. Our base case planning assumptions contemplate material scaling of AUM and revenue by 2027 under stable market assumptions, driven by institutional mandate conversion, expansion of the retail/app channel and monetization of AbraFi-enabled products. This Business section should be read in conjunction with the Risk Factors, Selected Financial Data, Management's Discussion and Analysis of Financial Condition and Results of Operations and the financial statements and related notes included elsewhere in this registration statement.

Abra was founded by Bill Barhydt, our Founder and Chief Executive Officer, who has longstanding experience in cryptocurrency, blockchain infrastructure and digital financial products. Since our founding, we have pursued a series of milestones that we believe distinguish our platform in the digital-asset market. We were founded to launch the crypto market's first synthetic stablecoin, later developed an early tokenized stock proof of concept, attained RIA status with the SEC in 2024, introduced a DeFi-based loan product, exceeded $500 million in

aggregate new client deposits in 2025, and launched USDAF on the AbraFi network in 2026. We believe these milestones reflect our experience bridging crypto-native technologies and mainstream financial use cases, including the development of what we describe as the first on-chain separately managed account.

Industry Background and Market Opportunity

The market opportunity for regulated, on-chain wealth infrastructure is supported by multiple macro and structural dynamics. The digital-asset ecosystem has grown to a multitrillion-dollar nominal capitalization, with a total market capitalization of approximately $2.5 trillion and estimated new inflows of approximately $31 billion in 2025, reflecting renewed institutional participation and greater liquidity across markets. Stablecoins have expanded to more than $300 billion of supply and recorded daily transaction volumes on the order of $30 billion, creating continuous settlement rails for payment, treasury and yield-related use cases. Tokenization of RWAs has also shown rapid early growth and has become an important structural driver of on-chain institutional adoption, with RWA balances reaching approximately $25 billion in 2025 and industry projections suggesting that tokenized RWA markets could rise to approximately $30 trillion by 2034. We believe improving regulatory clarity and pro-institutional policy momentum are favorable to institutional participation in on-chain infrastructures and that fiduciary-grade custody, title retention and compliant distribution channels will be important to broader institutional adoption of tokenized assets.

On-chain rails are increasingly reducing the historical separation among banking, investing, lending and settlement. Assets, settlement, yield, credit and custody can increasingly operate on unified, programmable digital infrastructure with real-time global access. In this environment, digital wealth platforms may serve as a unified point of access through which private capital can be held, invested, borrowed, lent and compounded. We believe continued institutional adoption of bitcoin, stablecoins and tokenized instruments supports a broader growth opportunity for our platform beyond bitcoin alone. We also believe the growing participation of advisers, family offices, corporates and private-wealth clients in digital assets supports demand for regulated custody, yield, collateral and tokenization solutions.

These structural trends suggest a differentiation opportunity for an integrated offering that combines regulated fiduciary distribution and compliance, title-retaining custody designed to address counterparty and rehypothecation risk, and native on-chain primitives such as synthetic dollars and composable RWA tools that support institutional treasury, settlement and yield

strategies. Our two-segment model is designed to capture demand across these vectors by offering ACM's fiduciary-grade custody and asset management together with Abra Tokenize's on-chain product and protocol economics.

Our Product and Business Overview

Our platform is designed to deliver institutional trust and on-chain utility by combining regulated RIA distribution, title-retaining custody and native protocol economics. We seek to serve institutions and sophisticated private-wealth clients through an on-chain bridge between traditional finance and wealth management, supported by client-owned on-chain SMA vaults, institutional distribution channels and AbraFi's on-chain execution engine. Our platform is designed to meet institutional requirements through proprietary software and systems intended to provide account security, reduced counterparty risk and functionality across trading, investing, collateralized borrowing and tokenization.

Our principal product families include fiduciary custody and SMA services, trading, conversion and execution, secured borrowing and lending and collateral management, yield and strategy participation, and tokenization and protocol access, including USDAF and AFI-related governance economics. These offerings are delivered through ACM's RIA distribution for institutional and U.S. clients, direct institutional sales, relationships with RIAs and private banks, strategic partnerships and a planned retail mobile/web application.

Revenue model

Our revenue model is multi-product and multi-channel. Principal revenue categories include recurring management and custody fees earned by ACM on assets held in segregated, title-retaining on-chain SMAs; transactional and execution revenue from trading and conversion activity; lending and collateral fees; recurring yield and strategy participation; and protocol-level economics, including protocol carry or performance share, investment income from a strategic treasury and governance token monetization through AFI. We believe this structure is intended to diversify revenue across management fees, transaction-based economics, strategic on-chain treasury deployment and AbraFi-related protocol monetization as adoption scales.

Business Segments

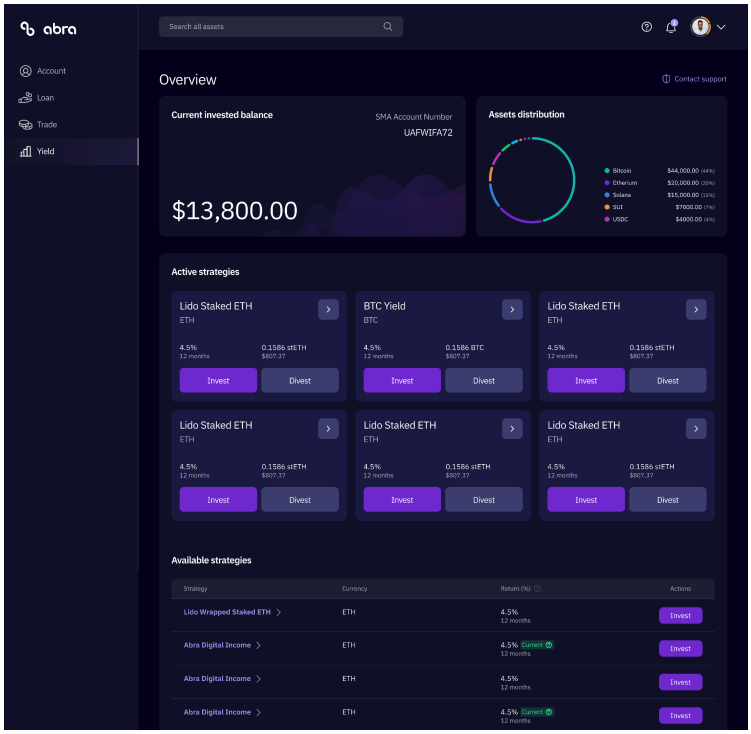
Abra Capital Management ("ACM")

ACM is our SEC-registered investment adviser and the primary regulated distribution channel for institutional and private-wealth clients. ACM is organized to deliver fiduciary custody and investment management through client-owned, segregated on-chain SMAs that preserve title and are supported by a layered custody architecture employing secure multi-party computation ("MPC") wallets and off-chain key controls. Client deposits are held in segregated, separately managed accounts via client-owned on-chain vaults, with off-chain keys intended to provide additional protection and a no-rehypothecation framework intended to reduce counterparty exposure. ACM operates under an RIA compliance framework and is designed to meet institutional diligence requirements through title-retaining custody, fiduciary oversight, reporting and AML/KYC controls.

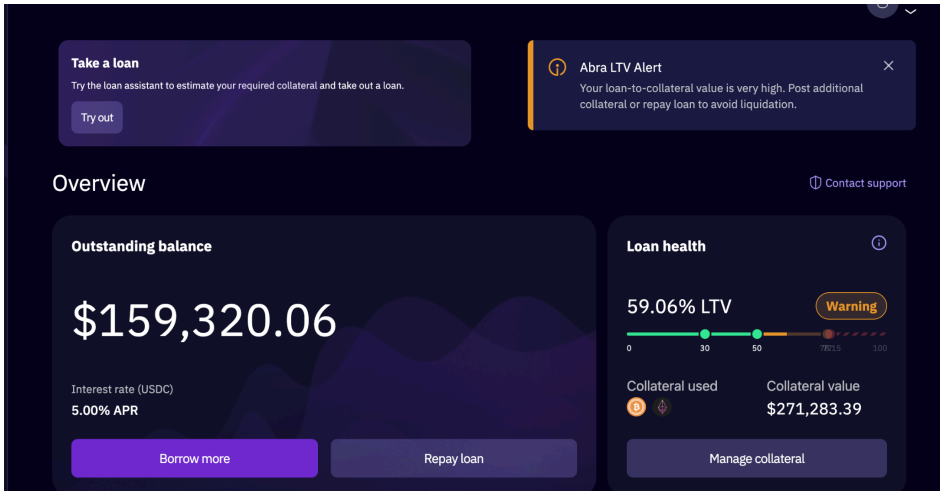
ACM's services include custody, trading and execution, including OTC activity, staking, secured borrowing and lending, on-chain yield strategies and collateral management. ACM is designed to support seamless fiat and crypto funding through integrated KYC/AML channels, and our technology stack incorporates public-chain integrations, together with a user interface intended to support accessibility, access control, staking, OTC functionality, borrowing and real-time reporting. We believe our vault architecture and on-chain settlement model can reduce reliance on intermediaries and eliminate third-party rehypothecation exposure for clients.

ACM's revenue streams are intentionally diversified to align with the evolving economics of on-chain finance. We generate recurring management and custody fees charged as a percentage of AUM, transactional revenue from trading, conversions and liquidity execution, lending and collateral fees associated with secured borrowing and capital deployment, and yield and performance economics derived from capital allocated to on-chain yield strategies and structured products. Our go-to-market combines direct institutional sales, RIA distribution, private-bank relationships and a planned retail mobile/web application designed to accelerate funded account growth and wallet consolidation. We expect the retail channel to increase client acquisition while maintaining ACM's institutional custody standards.

(*Invest Screen)*



(Loan Screen)



Abra App

Our planned Abra app is intended to consolidate custody, trading, lending, yield strategies and portfolio management into a single, mobile-first and web-enabled interface designed to attract and retain high-value clients. The app is intended to allow clients to manage trading, borrowing, yield and asset allocation through a single platform, simplify complex on-chain strategies through automated execution, monitoring and reporting, and provide advanced portfolio analytics, performance tracking and risk visibility. We believe the app can improve client accessibility, increase engagement, encourage clients to consolidate more activity within our platform and expand wallet share through product cross-sell and strategy adoption. As of the date of the presentation, the app remained under development, with launch anticipated in the first half of 2026.

Abra Tokenize

Abra Tokenize is our operating segment for protocol and tokenization initiatives. The segment centers on our commercial relationship with AbraFi, a Solana-native protocol, and on the distribution and institutional integration of USDAF, AbraFi's fully-backed, delta-neutral, yield-bearing synthetic dollar. AbraFi was previewed publicly in 2025, and USDAF had raised approximately $35 million to date, with a target of $50 million or more by early 2026. The Abra Tokenize strategy is intended to broaden our product offering beyond custody and advisory economics by enabling participation in tokenization, treasury deployment and governance-token monetization. AbraFi is not a subsidiary or affiliate of the Company, and USDAF will not be available directly to U.S. persons through AbraFi. U.S. clients of ACM may obtain indirect investment exposure to USDAF through advisory strategies offered by ACM.

AbraFi

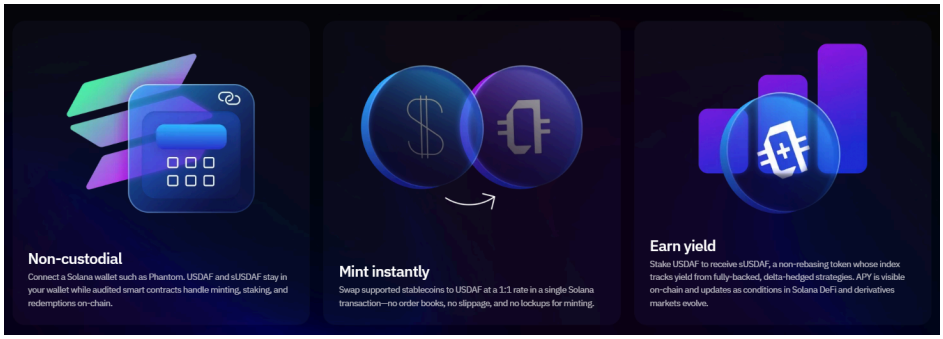
AbraFi is a Solana-native tokenization and permissioned DeFi stack designed to enable institutional RWA issuance, composable yield strategies and a synthetic-dollar ecosystem optimized for high throughput and low transaction cost. AbraFi was previewed publicly at Solana Breakpoint 2025 and is positioned as an execution layer that supports tokenized RWAs, stablecoins and modular yield strategies. We view AbraFi as addressing a market opportunity in which stablecoins processed more than $27 trillion of annual volume and RWA tokenization has been projected to reach approximately $30 trillion by 2034. AbraFi is intended to combine vertically integrated custody, lending and yield functionality with protocol fees on transactions that are designed to create scalable, headcount-efficient economics.

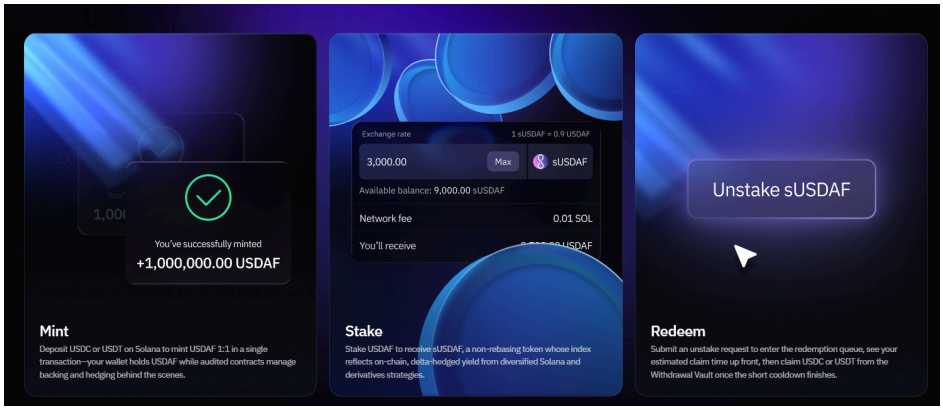
AbraFi is also designed for composability and institutional accessibility, including developer readiness and integrations with common wallets and chains, such as Phantom, Solana and Ethereum. We expect AbraFi to be governed over time by a user-owned DAO that uses AFI governance tokens to coordinate incentives and protocol parameters. Our commercial relationship with AbraFi contemplates distribution of AbraFi products to ACM clients and integration of AbraFi's on-chain execution engine into ACM's custody and settlement workflows, including stablecoins, yield, lending, RWA tokenization and 24/7 programmable settlement and routing.

USDAF

USDAF is AbraFi's flagship synthetic-dollar product and is designed for institutional exposure. USDAF is described as a fully-backed, delta-neutral, yield-bearing synthetic dollar, expected to be collateralized by diversified assets, including SOL, USDC and USDT, and supported by DeFi-hedged strategies intended to maintain peg stability. USDAF also includes a staked, yield-bearing variant intended to provide native protocol yield and treasury functionality, including treasury tools, liquidity routing, optimization and yield capture through staking and derivatives strategies.

USDAF was previewed at Solana Breakpoint 2025, and we had raised approximately $35 million to date for USDAF, with a targeted institutional seed of $50 million or more by Q1 2026. USDAF and related products were planned to expand and go live in early 2026. The product is built on Solana for speed and low fees and is intended to offer decentralized, permissionless access without a single counterparty. We believe USDAF anchors AbraFi's institutional offering by enabling scalable on-chain yield, treasury tools and RWA integration. We also believe USDAF benefits from vertical integration with our custody, lending and yield stack.





Treasury Management and On-Chain Deployment

Complementing AbraFi and USDAF, Abra Tokenize contemplates a dedicated digital treasury to support liquidity, capital deployment and ecosystem utilization and to capture yield through diversified on-chain strategies. The treasury is intended to perform several roles, including supporting liquidity for synthetic-dollar primitives, making seed commitments designed to accelerate RWA ecosystem depth, capturing yield through staking, liquidity provision and delta-neutral strategies, and supporting structured tokenized products distributed through ACM. We expect these deployments to be actively managed and integrated with broader platform activity.

AFI Governance Token and Monetization

AFI is the governance token for AbraFi and is intended to be central to protocol voting, incentive alignment and value capture. We expect AFI to support governance participation for protocol parameter changes and treasury allocations, power staking and incentive programs that allocate native yield to participants, and provide a mechanism for protocol fee capture and long-term monetization. We also expect to retain an allocation of AFI tokens to support ecosystem incentives and long-term value realization, subject to applicable governance arrangements and regulatory considerations. We recognize that AFI economics introduce governance, dilution, valuation and regulatory complexities, including the timing of DAO transitions, that we will monitor and disclose to investors as appropriate.

Distribution and Conflict-Controlled Access

Our commercial model for Abra Tokenize contemplates that institutional U.S. clients will access AbraFi-enabled exposures, including USDAF, through ACM under RIA-compliant advisory

arrangements, preserving title-retaining custody and fiduciary governance while enabling on-chain execution. We believe the separation between AbraFi's open protocol development and ACM's regulated distribution aligns on-chain innovation with compliance controls and institutional due-diligence expectations, and is intended to complement, rather than replace, ACM's fee-for-service economics and fiduciary obligations.

Technology, Security and Operations

Our custody and execution architecture is designed to meet institutional security expectations by combining a layered custody model with MPC wallets, offline key management and title-retaining on-chain SMAs. We integrate with multiple public-chain environments, including Solana and Ethereum, to enable high-throughput tokenized product execution and programmable settlement. Operationally, we emphasize compliance and governance through ACM's RIA framework and implement controls intended to mitigate operational and cybersecurity risks. At the same time, our services remain exposed to third-party protocol risks, potential smart-contract vulnerabilities and broader blockchain infrastructure disruptions. We continue to invest in our operating platform, proprietary systems, security architecture and client experience in order to support institutional adoption and platform scalability.

Customers, Distribution and Sales

We target high-net-worth individuals, family offices, RIAs, wealth managers and institutional investors seeking regulated custody, programmable settlement and integrated on-chain finance. ACM serves as the principal regulated distribution channel. We complement RIA-based distribution with direct institutional engagement, private-bank relationships and, prospectively, a retail mobile/web application intended to accelerate funded accounts and broaden our addressable market.

We expect to scale sales and marketing capabilities in a manner intended to increase institutional penetration and accelerate capital inflows. Our commercial strategy includes a broader outbound motion, institutional pipeline development, events and meetings, and a conversion process that spans registration, KYC and account funding. We also plan to expand our sales and marketing resources, including hiring a chief marketing officer and additional institutional sales personnel. We believe these initiatives will support mandate conversion and broaden our reach across institutional and private-wealth audiences.

Our commercial approach is relationship-driven for institutional clients and product- and user-experience-driven for retail clients. We believe the combination of direct institutional sales, RIA and private-bank distribution, and app-based client acquisition can support both asset growth and broader product adoption across our platform.

Wealth Managers, RIAs & Financial Advisors

Deliver direct exposure to digital assets—custody, yield, staking, collateralized borrowing, and more—to clients seeking exposure beyond ETFs, all through an advisor-aligned platform.

Segregated Account Structure

Provide clients with institutional-grade custody and investment access through Separately Managed Accounts (SMAs), ensuring full segregation, transparency, and operational integrity.

Expert-Led Digital Asset Strategy Development & Education

Partner with Abra for hands-on education and portfolio enablement—integrating digital assets into advisory workflows with insights on industry trends, risk, and allocation frameworks.

Model Portfolios & Allocation Frameworks

Access professional-grade model portfolios and digital asset allocation guidance tailored to client objectives and aligned with a range of investor risk profiles.

High Net Worth Individuals & Family Offices

Secure, grow, and manage digital wealth with institutional-grade custody, yield generation, trading access, and collateralized credit—while maintaining full ownership, control, and flexibility.

Secure Custody & Vaults

Safeguard holdings in individually segregated vaults secured by Fireblocks infrastructure—offering best-in-class security, transparency, and direct ownership.

Trading & Liquidity

Access over 500 digital assets with deep liquidity, tight spreads, and low-slippage execution—engineered for discretion, efficiency, and capital preservation.

Yield & Credit Strategies

Earn yield or unlock liquidity through BTC and ETH-backed credit, staking, or DeFi—designed for tax optimization, compounding, and multi-generational planning.

Competition

We operate in a competitive and rapidly evolving market for digital-asset wealth management, tokenization and on-chain financial infrastructure. The principal market categories relevant to our business include tokenization infrastructure, digital-asset exchanges and diversified financial services. Within those categories, we compete for institutional, RIA, high-net-worth and private-wealth client relationships with firms that offer various combinations of custody, trading, lending, yield, advisory and tokenization solutions.

We believe our competitive positioning is based on the integration of several core attributes within a single platform. These include an SEC-registered RIA distribution channel through ACM, client-owned, segregated, title-retaining on-chain SMAs designed to eliminate rehypothecation exposure, an integrated product suite spanning custody, trading, lending, yield and RWA tokenization, AbraFi-enabled on-chain execution, including stablecoins, yield, lending

and RWA tokenization, and a planned unified mobile and web experience intended to support both institutional and retail channels without compromising our institutional-grade custody architecture. We also believe the combination of regulated fiduciary infrastructure and on-chain functionality positions us to address demand beyond bitcoin, including demand associated with stablecoins, multiple digital assets, tokenized instruments and broader on-chain financial utility.

As these markets continue to develop, we expect competition to remain dynamic. We believe our competitive position will be supported by continued product innovation, disciplined execution, expansion of our distribution channels and growing institutional demand for regulated digital-asset and on-chain financial solutions.

Growth Strategy

Our growth strategy is centered on expanding client assets and activity through regulated distribution, broadening the range of products and services available on our platform and increasing monetization from tokenization, on-chain treasury deployment and protocol economics. We are building a digital-asset wealth platform designed to allow institutional and private-wealth clients to hold, invest, borrow, lend and deploy capital through a single platform supported by on-chain rails, institutional-grade custody and fiduciary oversight. We believe this integrated approach positions us to participate in the continued convergence of custody, wealth management, lending, yield and tokenization.

A core element of our strategy is to deepen distribution through ACM and complementary client channels. ACM is intended to serve institutional investors, high-net-worth individuals, family offices, registered investment advisers and wealth managers through a regulated advisory and custody framework. Our client-acquisition channels include direct institutional relationships, RIAs, private banks and a planned app-based channel. We are focused on growing assets through net new client inflows across high-net-worth and RIA / institutional channels, supported by targeted pipeline development, proactive sourcing and broader commercial outreach.

Another important component of our strategy is scaling sales and marketing capabilities in order to increase institutional penetration and accelerate capital inflows. We intend to expand our sales and marketing organization, broaden outbound activity, increase event and meeting activity and strengthen conversion from registration through KYC and account funding. We believe strengthening this commercial infrastructure will support mandate conversion and broaden our reach across institutional and private-wealth audiences.

We also seek to increase wallet share and client engagement through product expansion and cross-sell. Within ACM, we see opportunities to grow by offering a broader set of services across custody, trading, borrowing, lending, staking, yield strategies and tokenized RWA solutions. We believe expanding the product set can increase recurring management and custody revenue, support transactional activity and create additional opportunities for clients to use multiple services through a single relationship. Our planned Abra app is intended to support this objective by consolidating custody, trading, lending, yield strategies and portfolio management into a unified interface designed to simplify complex on-chain financial workflows and improve client accessibility.

A further element of our strategy is the expansion of Abra Tokenize, including the development and integration of products associated with AbraFi, USDAF and related tokenization and treasury initiatives. We see growth opportunities from launching tokenized products in the AbraFi ecosystem, expanding USDAF adoption, deploying a digital treasury into active yield strategies and monetizing AFI governance participation as ecosystem usage increases. We believe this strategy can broaden our revenue opportunities beyond traditional custody and advisory economics by enabling participation in tokenization, treasury deployment and protocol-related monetization.

Finally, our strategy includes continuing to invest in the operating platform, security architecture and client experience required to support institutional adoption. We believe proprietary systems, account security, reduced counterparty risk, segregated title-retaining accounts and a no-rehypothecation framework are important elements of our positioning. We believe maintaining these characteristics, while continuing to develop our technology stack and user experience, is important to attracting and retaining sophisticated clients and supporting long-term growth.

Financial Overview and Revenue Drivers

Our business is designed to generate a diversified mix of recurring fee revenue, transactional revenue and on-chain treasury and protocol economics. Through ACM, we earn recurring management and custody fees on client assets held in segregated, title-retaining on-chain separately managed accounts, as well as transactional revenue from trading and conversion activity and revenue from lending and collateral services. Through Abra Tokenize, we seek to generate revenue from yield and strategy participation, protocol carry or performance-based economics on AbraFi-enabled products, investment income from strategic on-chain treasury deployment and monetization of the AFI governance token. We believe this multi-product

structure is intended to diversify revenue across management fees, transactional revenue, strategic on-chain treasury deployment and AbraFi-related protocol economics as adoption scales.

Our financial profile currently reflects an early but rapidly expanding asset base. In 2025, we received approximately $543 million of new client deposits and ended the year with approximately $334 million of AUM. We expect future growth in fee and transaction revenue to be supported by increased client assets, broader client engagement across custody, trading, borrowing and yield products, and increasing contribution from Abra Tokenize through tokenized product adoption, strategic treasury deployment and AFI-related monetization. We believe growth across ACM and Abra Tokenize can increase the diversity of our revenue base over time.